

inflation is high, obviously real property, residential housing, apartment complexes, or office buildings generally do well. But when the interest rates and inflation are down, stocks and bonds generally do well. As the economy changes, so do risks and returns.

34 TIER #1: SECURE INCOME INVESTMENTS

These are investments that primarily generate income.

GOVERNMENT SECURITIES: Included in this group are treasury bills, GNMA bonds (called ginni-mae bonds), savings bonds, et cetera. I would give government securities an income of about 5, a growth rate of 0, but a risk of 1. In other words, you get a return of 5, which is an average return but virtually no risk.

BANK SECURITIES: Included here are passbook savings accounts, certificates of deposit, and insured money funds. One advantage of bank investments is that you can get into them with smaller amounts of money. Generally, a treasury bill will require \$10,000 to \$25,000, but you can purchase a CD for as little as \$1,000. The negatives are that they offer no growth because the payout is fixed and income is all taxable.

Be certain that you invest with a bank that is protected by the FDIC, or a savings and loan protected by the FSLIC, or with a credit union that is insured up to \$100,000. If worse comes to worse, the government will print the money to pay what they owe. Bank notes have a somewhat higher degree of risk than a government security. I would give them an income rating of about 5 and a risk of about 3 or 4. If you were going to risk your money long term and you had a choice of a government security or bank note, I would recommend the government security because it has the same amount of income and less risk.